Qualitative Assessment

Carriage Services, Inc.

3/13/2026

Summary

What do they sell?

Carriage Services sells funeral and cemetery services and related merchandise. Through its network of funeral homes and cemeteries, the company provides funeral arrangements, cremation and burial services, memorial ceremonies, transportation and preparation of remains, and the use of facilities for visitation and services. It also sells cemetery property such as burial plots, mausoleum spaces, and niches, along with merchandise including caskets, urns, monuments, markers, and memorial products. A significant portion of sales also comes from "preneed" contracts, where customers pre-arrange and pay for funeral or cemetery services before death occurs.

Who buys it?

Customers are primarily families making funeral or burial arrangements after a death occurs, referred to as "at-need" purchases. Another important customer group consists of individuals and families planning in advance through preneed contracts to arrange and pay for their funeral or burial services ahead of time. These customers are typically local residents within the communities served by each funeral home or cemetery.

Why do customers buy from them instead of others?

Customers generally choose a funeral provider based on local reputation, trust, location convenience, and familiarity with the funeral home or cemetery. Funeral services are highly local businesses where long-standing community relationships and brand heritage matter significantly. Families often return to the same provider used by previous generations or recommended by community members. Carriage attempts to compete through well-maintained facilities, professional service, established local brands, and preneed relationships that secure customers before services are needed.

Earnings

What are the primary drivers of earnings?

Earnings are primarily driven by the number of funeral services performed, the sale of cemetery property and related merchandise, and the average revenue per service. Revenue also depends on preneed sales, which generate commission income and create a backlog of future services. Margin expansion can occur through operating leverage, cost control, and integrating acquired funeral homes and cemeteries.

Does the company have pricing power, or are prices determined by the market?

The company appears to have moderate pricing power, primarily because funeral services are local and relationship-driven rather than purely price-driven. Families rarely shop extensively for the lowest price during a funeral arrangement, and established funeral homes can increase prices gradually over time. However, pricing is not unlimited. Competition from local independent operators and lower-cost cremation providers constrains pricing, particularly in the lower end of the market.

Are earnings stable, cyclical, or unpredictable? Why?

Earnings tend to be relatively stable and non-cyclical. Demand for funeral and burial services is largely tied to mortality rates rather than economic conditions, making the business less sensitive to recessions than most industries. There can be some variability due to fluctuations in death rates, seasonal patterns, or acquisition activity, but overall demand remains predictable because deathcare services are ultimately unavoidable.

Moat

What competitive advantage allows this company to earn strong returns compared to competitors?

Cost advantage:

Carriage does not appear to have a meaningful cost advantage over competitors. Funeral services remain labor-intensive and locally operated, and independent funeral homes often have similar cost structures. However, Carriage may achieve modest efficiencies through centralized administration, purchasing scale, and standardized operating systems across its portfolio.

Network effects:

There are no true network effects in this business. The value of one funeral home does not meaningfully increase because another exists elsewhere.

Switching costs:

Switching costs are moderate when preneed contracts are involved. Customers who have prearranged and prepaid for services are effectively locked into the provider. Outside of preneed arrangements, switching costs are limited because families can choose any provider at the time of need.

Brand:

Brand reputation operates mostly at the local level rather than nationally. Many funeral homes maintain longstanding identities within their communities even after being acquired. Families often return to the same provider used by previous generations, which creates a reputation-based advantage over new entrants.

Regulation:

Regulation provides a modest barrier to entry. Funeral homes require licensed funeral directors, compliance with federal and state rules governing funeral practices, and oversight of preneed trust funds. These requirements raise the operational complexity for new entrants but do not meaningfully restrict established local competitors.

Scale:

Scale provides some advantages in administration, capital access, and acquisition capabilities. As a publicly traded consolidator, Carriage can raise capital and pursue acquisitions more easily than many independent operators. However, because the industry remains localized, scale does not eliminate competition within individual markets.

Asset ownership:

Ownership of cemeteries can provide a limited advantage because cemetery land is finite and often difficult to replicate once established. Cemeteries can generate long-term revenue through plot sales, memorialization products, and perpetual care services.

Geographic monopoly:

In certain local markets, funeral homes may function as quasi-local monopolies due to reputation, location, and limited alternatives. However, this advantage varies widely by location and is not guaranteed across the company's entire portfolio.

Capital Allocation

Have they diluted shareholders?

Share dilution appears minimal over the period reviewed. Shares outstanding have declined moderately over time, indicating that acquisitions have generally not been financed through large equity issuance.

Are buybacks intelligent or desperate?

Share repurchases appear measured rather than aggressive. The company has reduced its share count gradually while continuing to invest in acquisitions and operations. There is no clear indication that buybacks were used to offset heavy dilution or mask weak operating performance.

Debt behavior rational?

Debt levels have increased over time as the company financed acquisitions and expansion. While leverage is elevated relative to equity, the business generates consistent free cash flow and operates in a stable industry, making the debt load manageable so far. The leverage strategy appears deliberate rather than reckless, though it remains an important risk factor.

Acquisitions disciplined?

Acquisitions appear central to the company's strategy. The financial results suggest that acquired businesses have contributed to revenue and operating income growth, and margins have improved over time. However, goodwill has increased significantly, which indicates that acquisitions are often completed at premiums and should continue to be monitored for long-term returns.

How has management historically used free cash flow?

Historically, most free cash flow has been reinvested into acquisitions and business expansion. A smaller portion has been returned to shareholders through dividends and share repurchases. This allocation pattern reflects the company's role as an industry consolidator seeking to grow its portfolio of funeral homes and cemeteries.

Failure

How could this business fail?

The most realistic path to failure would come from poor capital allocation rather than declining demand. Carriage relies heavily on acquisitions to grow, and those acquisitions are often purchased at premiums that become goodwill on the balance sheet. If management consistently overpays for funeral homes or cemeteries, the company could accumulate large amounts of debt while generating only modest incremental earnings. Over time this could lead to weak returns on capital and balance sheet stress. Another risk is sustained deterioration in average revenue per service due to the continued shift toward cremation, which typically generates lower revenue than traditional burial. If the company cannot offset that with additional services or price increases, margins could compress. Operational failures could also damage the local reputations that funeral homes depend on, which would slowly erode market share.

How could competitors or technology disrupt this business?

Disruption risk is relatively low compared to many industries, but it is not zero. The largest competitive threat comes from low-cost cremation providers that offer minimal services at significantly lower prices. These operators have already captured part of the price-sensitive segment of the market. Online platforms that sell caskets, urns, or memorial merchandise also remove some product revenue from funeral homes. Technology could gradually shift parts of the value chain toward digital planning or simplified services, reducing the need for full-service funeral providers in some cases. However, the core service—handling remains, organizing ceremonies, and managing burial or cremation—still requires physical facilities, licensed professionals, and local relationships, which limits the scale of technological disruption.

Ownership

If the stock market closed for 10 years, would I want to own this entire business?

Owning the entire business for a decade would likely be acceptable, though not obviously exceptional. The industry benefits from extremely stable demand because funeral services are unavoidable and largely independent of economic cycles. Carriage has demonstrated the ability to generate steady cash flow and maintain respectable margins over time. However, returns on capital are not extraordinarily high, and the business relies partly on acquisitions to grow. As a result, the attractiveness of long-term ownership would depend heavily on continued disciplined capital allocation and maintaining the profitability of acquired businesses.

Why will this business still exist in 20 years?

The fundamental service the company provides is unavoidable and unlikely to disappear. Deathcare services are tied directly to mortality rather than economic conditions or consumer trends. Even as preferences shift toward cremation, families will still require professionals to manage remains, conduct memorial services, and maintain cemeteries. The industry also changes slowly because reputation and trust play a major role in customer decisions. Funeral homes often remain embedded in their communities for decades, which gives established operators long-lived relationships and recurring demand. For these reasons, the underlying business is likely to remain necessary far into the future.

Final

What do I not understand? What makes me uncomfortable?

The primary area of uncertainty lies in the long-term returns generated from acquisitions. Goodwill on the balance sheet has grown significantly over time, indicating that the company frequently pays premiums for businesses it acquires. While operating income and margins have improved, it is not yet fully clear whether those acquisitions consistently produce strong returns on the capital invested. The company also carries meaningful leverage relative to equity, which increases financial risk if acquisitions fail to generate expected earnings. Another area of uncertainty is the long-term impact of the industry's shift toward cremation and whether revenue per service can remain stable as burial rates decline.

Pass or Fail to Phase 3?

Pass.

Based on the financial history and the qualitative characteristics of the business, the company appears worthy of deeper investigation. The business operates in a stable industry, generates consistent cash flow, has improved margins over time, and has not significantly diluted shareholders. However, the moderate level of returns on capital and the reliance on acquisitions mean that management quality and capital allocation discipline will be critical factors. The company merits additional analysis rather than immediate rejection.